

A Fresh Look at the Origins and Impetus for Antitrust

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Abstract

Understanding the motivations behind antitrust laws is crucial given that courts continue to rely on legislative intent to guide their interpretation of these statutes. Accordingly, this paper revisits the origins of antitrust by examining why some states adopted antitrust statutes before the Sherman Act of 1890. We leverage large-scale digitized newspaper data and machine learning methods to measure antimonopoly sentiment during the 1880s and connect these patterns to states' statutory choices. This analysis allows us to test competing explanations for the rise of antitrust, informing modern debates about the original aims of antitrust policy. Our findings provide the first quantitative evidence linking contemporaneous public sentiment to legislative outcomes in the pre-Sherman era. Newspaper coverage in the years leading up to early state antitrust statutes points largely toward a broad, popular concern with monopoly rather than a coordinated agrarian or small-business campaign. Regression results similarly show that newspaper attention to monopoly—rather than measures of agricultural, small-business, or monopoly-sector strength—best predicts early adoption. Together, these results suggest that the initial wave of antitrust legislation reflected diffuse public salience around monopoly rather than concentrated special-interest pressure, lending support to the “public interest” interpretation of antitrust’s origins.

1 Introduction

Economists’ and lawyers’ understanding of the origins and impetus of antitrust has historically been focused on the introduction and passage of the Sherman Act of 1890 (Blair and Kaserman 2009; Scherer and Ross 1990; Viscusi, Harrington Jr., and Sappington 2018). This understanding has largely rested upon historical accounts (e.g., Thorelli 1955) and analysis of the legislative history of the Sherman Act (e.g., Bork 1966; Grandy 1993; Hazlett 1992). This focus has produced three alternative interpretations of the origins and drivers for the passage of the Sherman Act: (1) that the antitrust movement was driven by agrarian discontent, which was largely the product of farmers’ antipathy toward railroads’ monopolistic practices; (2) that the emergence of antitrust legislation was driven by small, non-agricultural businesses that became increasingly threatened by the growth of larger, more efficient businesses in the late 1800s; and (3) that, never mind pressures from special interest groups, legislators acted in the public interest to craft legislation that would act unwaveringly to promote competition. The perpetuation of these alternative explanations is unsettling not only because they disagree, but also because they evoke quite different implications regarding the actual intent of the Sherman Act. Did the Act arise to protect competitors from competition or, alternatively, to more narrowly focus on protecting consumers?

Largely unnoticed in the development of this understanding, however, is the fact that a number of states within the United States adopted antitrust laws prior to the 1890 passage of the Sherman Act. This state-level heterogeneity introduces the potential for a significantly improved analysis and understanding of the origins and impetus of the antitrust movement. Accordingly, in this study, we turn away from the singular focus on the passage of federal legislation to instead redirect fresh attention to developing an understanding of the origins and impetus for state-level antitrust legislation, which occurred prior to 1890 for a number of states.

Our approach is generated principally by three features: First, we eschew the traditional path of reviews of the legislative history of the passage of the single initial federal legislation, instead employing the richness of state-level antitrust efforts that preceded the passage of the Sherman Act. Second, we employ the power of modern search methods—namely, scraping local newspaper accounts—to identify contemporaneous, and therefore more credible, explanations of the drivers of

the original antitrust legislation. Third, rather than narrative explanations, we rely to the extent possible on quantitative analysis of contemporaneous state-level data to speak to the observed pattern of early antitrust in the United States.

This paper contributes to the existing literature in several ways. It first provides a fresh and systematic examination of newspaper accounts that highlight the tenor and type of concerns the public had toward monopolies in the late 1880s. Rather than hand-collecting newspaper accounts as has been done in the past (e.g., Gordon 1963), we utilize a digitized collection of thousands of newspaper articles to provide a significantly more comprehensive account of the public’s sentiment than was previously available in the literature. This examination sheds considerable light on the key concerns of the public regarding monopoly on the eve of the introduction of the country’s first antitrust statutes.

Second, the paper examines the political and economic forces that gave rise to early antitrust legislation in the United States. As discussed in detail in Section 2.2, competing explanations attribute the origins of antitrust to interest-group lobbying by agricultural organizations seeking protection from railroads (e.g., Boudreaux and DiLorenzo 1993; Boudreaux, DiLorenzo, and Parker 1995; DiLorenzo 1985; DiLorenzo and High 1988); the defensive efforts of small, non-agricultural businesses threatened by more efficient competitors (Baxter 1980; John 2017; Stigler 1985); or popular outrage over trusts such as Standard Oil and the Whiskey Trust (Flynn 1988; Gordon 1963; Lande 1982; Lande 1988; Letwin 1965; Millon 1988; Werden 2020). We advance this literature in several ways.

To begin, we assemble a harmonized and transparent dataset of pre-1890 state antitrust statutes, resolving long-standing inconsistencies in how prior scholars have defined and dated “antitrust” laws. We then move beyond narrative explanations by treating these early enactments as quasi-natural experiments, allowing us to reconcile conflicting historical claims with modern econometric methods. This approach allows us to extend and modernize Stigler’s (1985) pioneering empirical framework, transforming his descriptive statistical exercise into a more comprehensive econometric analysis that quantifies the determinants of states’ legislative behavior. Finally, we shift the principal unit of analysis from federal to state law, using cross-state variation in the passage of pre-Sherman

statutes to uncover the conditions and interests that shaped early antitrust policy.

Another contribution of the paper lies in narrowing modern legal debates. Specifically, understanding the motivations behind antitrust laws is crucial given that courts continue to rely on legislative intent to guide their interpretation of these statutes. Our findings provide what we believe is the most systematic assessment of the forces that drove—and, therefore, the intent behind—the adoption of the first antitrust laws in the United States. That is, this analysis has the potential to more than simply clarify the historical account. Rather, it also has the prospect of informing modern debates that have emerged regarding the “original intent” of antitrust legislation in the United States.

The paper is organized as follows. Section 2 provides an introductory discussion of state-level antitrust activity prior to the passage of the Sherman Act. Of particular importance, Section 2.1 addresses the foundational question of what constitutional or statutory activities qualify as “antitrust” in the period of time prior to the Sherman Act. Section 2.2 identifies various theories of the precipitators of state-level antitrust. In Section 3, we draw upon a robust digitized database of newspaper articles published in the decade prior to the passage of the Sherman Act to provide insights into the origins and impetus for state-level antitrust activities. Section 4 provides a quantitative analysis of pre-Sherman Act state-level antitrust activity with an eye toward providing additional clarity into the observed variation in states’ adoption of antitrust prior to the passage of the Sherman Act. Section 5 concludes.

2 The Origins of Pre-Sherman Act State-level Antitrust

2.1 State-Level Antitrust

As noted by numerous scholars, the latter half of the nineteenth century was laden with both substantial changes in the industrial structure of the United States as well as the emergence of public policies that we today refer to as “antitrust.” The goal of this paper is to provide additional insights into the causes and origins of antitrust in the United States. To do so, however, a preliminary question must be addressed; namely, what is meant by the term “antitrust”? For instance, does

a simple declaration in a state’s constitution that monopolies “ought not to be suffered” keynote antitrust law? An expansive interpretation of U.S. states’ first antitrust activity would seem to include declarations, such as in Maryland, “[t]hat monopolies are odious, contrary to the spirit of a free government and the principles of commerce, and ought not to be suffered.” After all, antitrust laws are often referred to as “anti-monopoly” laws.

The caveat to this interpretation, however, is that historically “monopolies” were often interpreted as stemming solely from governmental grants of exclusivity (See, e.g., Calabresi and Leibowitz 2013), which would seem to exclude monopolies achieved through collusion, mergers and acquisitions, predatory pricing or other anticompetitive practices that are widely recognized to be the heart of modern “anti-monopoly” or antitrust laws. As observed by Millon (1990), “[t]hese [constitutional provisions] were typically little more than broad denunciations to the effect that monopolies are repugnant to a free people and should not be allowed. None of these, however, was concerned with the particular problems that the newly emergent trusts presented during the 1880s because the trusts were not state-franchised monopolies.”¹ Thus, it can reasonably be inferred in the alternative that constitutional provisions targeting “monopolies” (without other language that more broadly is aimed at practices that “defeat or lessen competition”) did not, in fact, keynote antitrust activity.²

Previous scholars that have chronicled state-level antitrust activity have offered conflicting accounts of early state antitrust legislation. Stigler (1985, p. 6) identifies 20 states that passed antitrust laws by the end of 1890, the year of the passage of the Sherman Act. In contrast, Collins (2013) identifies 13 states that had adopted their own antitrust law prior to the passage of the Sherman Act. Chen (1988, p. 94) and Millon (1990, p. 146) each identify 12 states that passed antitrust statutes prior to the passage of the Sherman Act. Seager and Gulick (1929, pp. 341–343) state

¹There are exceptions; some states established granular prohibitions in their constitutions. For instance, the Idaho Constitution, adopted in 1889, made it quite clear that “combinations” established “for the purpose of fixing the price or regulating the production of any article of commerce or of produce of the soil, or of consumption by the people” were prohibited. See Idaho Const. art. 11, §18 (1889).

²The presence of simple, state-level provisions stating that monopolies “ought not to be suffered” may have relieved political pressure for more detailed prohibitions on anticompetitive practices. Conversely, the presence of a simple constitutional prohibition of “monopolies” may have signaled a keen interest by the state in preventing a wide array of anticompetitive practices, leading to early adoption of granular state antitrust legislation. In our empirical model developed in Section 4 below, we consider whether and how states’ simple or more granular constitutional provisions affected the timing of the introduction of states’ first antitrust statute.

that “at least thirteen states” had antitrust statutes by this time. Others blend state antitrust statutes and antitrust-esque provisions in state constitutions. Dameron (2016) identifies 13 state antitrust statutes and five constitutional provisions adopted between 1888 and 1890. In Appendix A, we systematically evaluate the existing studies that have produced these conflicting accounts of pre-Sherman Act state-level antitrust activity. This analysis indicates that the states identified in Table 1 passed an antitrust statute prior to the passage of the federal Sherman Act on July 2, 1890.

2.2 Alternative Theories of the Precipitators of State-Level Antitrust

A close examination of the initial impetus for antitrust statutes in the United States produces conflicting explanations. Bork (1966, p. 16) argues that Sherman himself “wanted the courts not merely to be influenced by the consumer interest but to be controlled completely by it.” In a similar vein, Collins (2013, p. 2342) concludes that “[t]he state and federal antitrust statutes passed between 1888 and 1890 were enacted to deal with the increasing number of horizontal combinations—what would be called price-fixing cartels today—that had emerged throughout the economy in the 1870s and 1880s.” Collins specifically contends that the emergence of state antitrust laws was a reaction to the liberalization of state corporation laws that increasingly made the formation of combinations in restraint of trade (heretofore proscribed, though not criminally, under common law) legal.

Also in this vein, Dameron (2016) indicates that “[t]he plain language of the Sherman Act’s state predecessors shows that most were designed to promote what we now call consumer welfare. These statutes prohibited only those business combinations that harmed consumers by artificially constraining the supply of consumer goods.” Dameron (2016, p. 1095) does not equivocate:

“This Note departs from past approaches by examining the contents of the state antitrust statutes themselves. By and large, the statutory language does not support the view that the agricultural states of the South and West adopted antitrust legislation as protectionist or as ‘anti-bigness’ weapons against the advances of powerful corporations. The prairie populists—or at least the pieces of legislation they enacted—were doing something else: they were prohibiting only those combinations and business practices that harmed consumers through restrictions on the production of a given commodity or article of commerce. In other words, they were working toward a policy of consumer welfare.”

In short, Dameron (2016) concludes that most states that moved to adopt antitrust statutes prior to

the passage of the Sherman Act did so with the intent of promoting consumer welfare, only acting to proscribe business combinations that harmed consumers by restricting the supply of goods.

In contrast to the “consumer welfare” interpretation, the seminal work of Thorelli (1955) provides a story of agrarian discontent, with farmers turning into a political force as a consequence of railroads’ monopolistic pricing practices. He concludes that “[p]erhaps the main root of western discontent was the permanent agricultural depression throughout this period.” Stigler (1985), however, finds this explanation puzzling because, by his calculations, farm incomes were not particularly sensitive to railroads’ financial returns. Moreover, Stigler (1985) argues that the price of freight rail services fell significantly in the decade prior to the introduction of the antitrust laws. Thus, Stigler (1985, p. 3) concludes that it was “perverse behavior” for farmers to lay their woes on the rail industry.³ Stigler (1985) consequently investigates the potential driving force of two groups: (1) small, non-agricultural, businesses who may have stood to gain from the adoption broad antitrust laws capable of hamstringing not only monopolists but also large, efficient competitors; and (2) monopolists, who certainly stood to lose with the enactment of either narrow legislation that only targeted monopolization or broader legislation that enveloped legitimate business practices carried out by large firms.⁴

Boudreaux and DiLorenzo (1993) also argue that pre-Sherman Act antitrust legislation was driven by special interest groups and designed for their benefits. In particular, they identify farmers as a driving force. Note though that while Boudreaux, DiLorenzo, and Parker (1995) point to special interest groups as driving the law in Missouri, Dameron (2016, p. 1099), quoting the exact language of the Missouri statute, argues that:

“First, agreements and combinations that did not reduce output and raise prices did not run afoul of the law. Second, Missouri lawmakers cared about price and output effects on particular commodities and articles of merchandise, not overall social output or price effects. Third, under the antimonopoly provision of section 2, a business organization

³Beyond the concerns of Stigler (1985), Gilligan, Marshall, and Weingast (1989) also observe that in the context of the consideration of the Interstate Commerce Act, farmers “were clearly not of one voice” with some farmers in the Midwest facing a single rail carrier, while those farmers west of Chicago enjoyed the benefits of long-haul competitive rail pricing. This divergence of interests may have similarly acted to diminish the political strength of the farm lobby in considerations of state antitrust legislation.

⁴In a similar vein, Baxter (1980) conjectures that antitrust law in general may be driven by the self-interest of small businesses, the antitrust bar, or public policy officials whose power would increase with the growth of administrative bureaucracy afforded by the passage and expansion of antitrust statutes.

had to act with the ‘intent’ to control output or prices. Monopolies achieved through productive efficiency, without any intention of controlling prices or output, did not violate the terms of the statute.”

In summary, several competing theories have emerged over the years regarding the original impetus for the antitrust statutes. These include, most prominently, that the antitrust statutes arose: (1) in furtherance of consumers, consumer welfare, and competition; (2) as a result of discontent among the agricultural sector; and (3) as a populist-driven backlash against the emergence of large firms. Despite their outstanding differences, systematic scrutiny that would permit us to differentiate among them has largely been absent. It is to that effort that we now turn.

3 Newspaper and Book Evidence

Attempts to sharpen the lens of after-the-fact sense-making of economic phenomena has, over the years, been immensely aided by research that examines contemporaneous accounts of historical events. As helpful as this archival research has been in shedding light on various economic phenomena, two features of this research methodology have been limiting. First, the process of identifying relevant contemporaneous press accounts was, until recently, a massively laborious effort. Consequently, the research necessarily was targeted at the accounts of a relatively small set of daily and weekly publications. Second, the research only anecdotally identifies geographic variations in public opinions. An article in the *Albany Journal* was likely to reflect the opinions of New Yorkers while an article from the *Cincinnati Commercial Gazette* was more likely to reflect the opinions of Ohioans. In recent years, however, technological advances have made it possible to overcome both of these limitations, enabling both searches of a substantially wider set of publications as well as the ability to geographically disaggregate variations in public opinion across the United States.

To develop greater coverage of contemporaneous newspaper articles addressing the growing presence and effects of monopoly in the United States in the 1880s, and to examine this with a geographically disaggregated lens, we rely upon two prominent sources of digital newspaper articles from the historical United States: Newspapers.com and American Stories.⁵ Newspapers.com is a widely-used website that is part of the Ancestry portfolio, while American Stories is the product of

⁵For a thorough review of other research that relies upon archival newspaper data, see Beach and Hanlon (2022).

an extensive programming effort to simplify access to the millions of newspaper scans that are part of the Library of Congress' *Chronicling America* collection (Dell et al. 2023).

Consistent with Gentzkow, Shapiro, and Sinkinson (2011); Hopkins, Kim, and Kim (2017); Perlman and Schuster (2016); and Wang (2025), we interpret temporal and geographic variation in the intensity of newspaper accounts as reflective of public opinion, which, in turn, may drive legislative changes.⁶ This interpretation finds specific support in the case of newspaper accounts of monopoly in the pre-Sherman Act period. Consider, for instance, Cook's (1888, p. 53) description of the role of newspaper accounts of monopolistic trusts during the pre-Sherman Act period:

“From the daily and weekly press of the country there will come a stormy advocacy of the people's rights which cannot be defied or suppressed or conquered. It is the reflector of public opinion. It is the medium of the voice of the people, and the unerring index of the thoughts and feelings and will of the masses. And it is a formidable indictment which the people, through the press, have brought against the Trust.”

While the data we employ permit a more robust examination of public opinion toward monopoly in the 1880s than was previously available in the literature, it is not the first such examination. Thorelli (1955) offers a general summary of newspapers' treatment of monopoly in the period leading up to the passage of the Sherman Act. He does so while moderating alternative viewpoints. On the one hand, Thorelli (1955, p. 136) writes of an impression that there was a “mighty tidal wave of discussion and agitation concerning the trust problem [that] surged through the nation's popular magazines before 1890.” On the other hand, Clark's (1931) examination of newspaper coverage convinced him that there was little widespread interest in industrial consolidation, monopoly, and trusts in the years leading up to the passage of the Sherman Act. Thorelli (1955, p. 141) concludes that “[t]he persistence of this striking difference of views is easily explained by the fact that no exhaustive, or even systematic, survey of primary materials was ever undertaken by a representative of either one of these ‘schools.’”

Akin to Thorelli (1955), Gordon (1963) evaluates both the contemporaneous literature on the emergence of industrial consolidations and trusts, as well as the attitudes of the public in the decade preceding the passage of the Sherman Act, by examining primary source materials. Gordon (1963,

⁶In a similar vein, (Thorelli 1955, p. 138) argues that “[n]ewspapers perhaps more faithfully than any other media reflect the interests of the public.”

p. 157) concludes that the “evidence would seem to indicate that there were but few industrial combinations before 1887, and that from that date the movement for consolidations accelerated rapidly.” To get a sense of public opinion regarding the emerging industrial consolidation, Gordon examines several sources: (1) the sources listed in a bibliography prepared by the Division of Bibliography of the U.S. Library of Congress relating to trusts; (2) newspaper articles in *The New York Times* and the *New York Daily Tribune*; (3) the *Public Opinion*⁷; (4) pamphlets and journals of special interest groups such as farmers, workers, and business people; and (5) relevant petitions and memorials entered into the *Congressional Record*. Gordon’s (1963, pp. 157–158) examination leads him to conclude that:

“Of all the sources examined, 1,647 in all, less than ten percent were written before 1887. Of the more than one thousand articles appearing in *The New York Times* and the *New York Daily Tribune*, less than five percent appeared before 1887. The magazine *Public Opinion* started publication in April of 1886 and carried eighty-two articles on combinations. All but eight of these articles were published in the two years preceding the passage of the Sherman Act.”

Conversely, Letwin (1956, p. 224) argues that:

“Those who have questioned this standard opinion have pointed out few books or journal articles were published on the trust problem before 1890, fewer, at least, than were printed afterwards. This fact led a leading historian of the Sherman Act, John Davidson Clark, to conclude that the public was not ‘hysterical’ but rather indifferent to the trusts. Unfortunately Clark exaggerated the evidence. Far more was printed than he realized, and especially in the newspapers. For instance, in February, 1888, *The New York Times* published articles and editorials about trusts on every day but one. If the *Times* was never again so persistent, neither did it become silent on subject, and it certainly did not—as Clark asserted—ignore the hearings of the congressional committee investigating the trusts. The most widely distributed newspaper in the Midwest, the *Chicago Tribune*, was at least assiduously interested. Moreover, there is evidence that other newspapers throughout the country were not much less attentive to the problem.”
[footnotes omitted]

While suggesting that press accounts of the emergence of antitrust sentiment in the 1880s were more prominent than Clark (1931) indicated, Letwin (1956, p. 225) offers an even more pointed criticism: “[a]ntitrust sentiment, in any case, cannot be measured merely by counting the number of articles concerned exclusively with trusts that appeared within the three years prior to the passage

⁷This was a weekly periodical that sought to provide a comprehensive summary of “the press throughout the world on all important current topics.”

of the Sherman Act.” He is certainly correct that counting articles on antitrust may not robustly capture the public’s sentiment. Letwin (1956, p. 226) instead argues that the antitrust issue must be seen to reflect the broader concerns of the public, prominent among them the problem of “monopoly:”

“The pervasive antitrust sentiment did not spring up overnight. Hatred of monopoly is one of the oldest American political habits and like most profound traditions, it consisted of an essentially permanent idea expressed at different times. ‘Monopoly,’ as the word was used in America, meant at first a special legal privilege granted by the state; later it came more often to mean exclusive control that a few persons achieved by their own efforts; but it always meant some sort of unjustified power, especially one that raised obstacles to equality of opportunity. The trust was popularly regarded as nothing but a new form of monopoly, and the whole force of the tradition was focused against it immediately.”

Following the admonition of Letwin (1956), we broaden our keyword search of newspaper articles to include “monopoly” for both conceptual and practical reasons. First, as a conceptual matter, the word “antitrust” was an outgrowth of the formation of the Standard Oil Trust in 1882 and the subsequent growth of trusts around the country. The more fundamental concern was with monopolistic exploitation, produced by the presence of monopoly. Second, as a practical matter, searching digitized newspapers for “antitrust” or “anti-trust” is fraught. In particular, “antitrust” and “anti-trust” keyword searches produce many false positives, indicating that an article addressed the topic of the keyword when, in fact, it did not.⁸ Similarly, such keyword searches can produce false negatives, indicating that there was no newspaper article addressing the topic of the keyword when, in fact, there was such an article.⁹ Searches for “antitrust” also occasionally produce duplicate articles.¹⁰ Finally, these searches for a particular time range may sometimes produce articles that were published outside of the designated time range.¹¹

Turning to the data, Figure 1 presents the annual count of the keyword “monopoly” in U.S. newspapers, based on data from Newspapers.com, for the period 1880 to 1889.¹² While the absolute

⁸For example, a Newspapers.com search for articles containing “anti-trust” in Ohio in 1887 produces a February 24, 1887 article in the *Cleveland Leader* that refers to a “Savings and Trust Company.”

⁹For example, a Newspapers.com search for articles containing “anti-trust” in Kansas in 1887 identifies a December 3, 1887 edition of the *Bronson Pilot* that purports to have no matches, yet an article titled “The Farmer and the ‘Trusts’” appeared in that newspaper on that day.

¹⁰For example, a Newspapers.com search for articles containing “anti-trust” in New York in 1887 identifies three articles published on December 5, 1887 in *The Evening World*. The articles are, however, duplicates.

¹¹For example, a Newspapers.com search for articles containing “anti-trust” between 1880 and 1886 identifies several articles that were published in 1889 or 1890.

¹²This keyword search additionally captures derivatives of “monopoly” such as “monopolies” or “monopolize.” Note also that each appearance of the keyword is counted separately; a single article can contain several keyword matches.

number of matches rises over the decade, this trend coincides with an increase in the number of newspaper pages archived in the database. Notably, when adjusted for coverage, the frequency of “monopoly” mentions does not exhibit a clear upward trend leading up to the passage of the Sherman Antitrust Act in 1890.

However, this aggregate pattern conceals substantial variation across states. As Figure 2 shows, when the data are disaggregated by whether a state enacted antitrust legislation prior to the Sherman Act, a striking pattern emerges: states with earlier antitrust laws consistently display higher mentions of “monopoly” per newspaper page throughout the 1880s. Figure 3 provides a corresponding state-level map for 1887, the year before the pre-Sherman Act states began to adopt antitrust legislation. As the map indicates, public discussion of monopoly in 1887 was concentrated in the Midwest, where states were also among the earliest to adopt antitrust legislation.

Yet another lens emerges from an examination of newspaper articles published in the period immediately preceding the passage of state-level antitrust statutes. Specifically, granular scrutiny of contemporaneous newspaper articles discussing “monopoly” allows us to explore what specific practices or attributes of monopolies were most in the public discussion and would, therefore, be the most significant drivers of the pre-Sherman Act adoption of antitrust statutes by some states. So, for instance, was it a general antipathy toward monopoly that appeared most prominently in the contemporaneous press? Was it concern over the formation and consequences of specific trusts? Was it concerns that monopoly was leading to undesirable wealth redistribution? Was it concern about the impact of monopolies on farmers? Or, was it something else altogether?

To address these questions, we first identify all articles in American Stories which contain the word “monopoly” (or its derivatives) in 1887, the year prior to the passage of the first state antitrust statute.¹³ This process identified 9,841 articles drawn from newspapers across 48 states, including those that adopted antitrust statutes before and after the passage of the Sherman Act.¹⁴ Next, from these articles, we drew a sample of 150 articles. Reading these articles allowed us to craft a classification system into which each article could be assigned. Specifically, we identified four principal categories (and a “not elsewhere classified” category) that align with prior representations

¹³For this portion of our research, we were unable to secure the rights to download these data from Newspapers.com.

¹⁴Note that our filter does not exclude articles that express concerns regarding monopoly outside the United States.

regarding the driving sources of antitrust.

First, akin to Letwin (1956), some articles expressed a non-specific general antipathy for monopoly. For instance, an article published on July 7, 1887 in *The Democratic Press* in Ravenna Ohio indicated a general distaste for monopoly, indicating that “Principle, rather than suppositious expediency, will harmonize [the Democratic State Convention’s] adherents in enthusiastic support of the party that has steadfastly and grandly championed the rights [of] the people, whether in opposition [to] the [e]ncroachments of monopolistic corporations or Legislative enactments.”

Second, some articles raised concerns about monopolistic practices in specific industries. For example, an article in “*The Bottineau Pioneer*” in Bottineau, North Dakota complained that “There is now imposed on imported salt [a] duty of about a 100 per cent. This has been maintained in order that we might ”protect” and ”develop” the industry of making salt at home. And, when the infant industry has thus been fed at the peoples’ expense until it has developed a stall wart appetite, it employs its powers in the usual way; to swindle the people by means of the monopoly created for its particular benefit.” These industry-specific complaints ranged across a number of industries including telephony, oil, natural gas, underground wire conduit, railroad transportation, whiskey, etc.

Third, some articles portrayed one of several populist-themed complaints regarding monopoly, including concerns about the displacement of small firms by larger ones, concerns regarding monopolies’ abuse of labor, and complaints about the effects of monopolies on wealth distribution. For example, an article in *The Huntsville Gazette* on July 16, 1887 is cast in class terms, describing the tension between “the poor people at large” against “the rich monopolies.”

Finally, some articles expressed farm-related monopoly concerns, including complaints about particular agricultural-related monopolies or trusts such as the Beef Trust, the Barbed Wire Trust, the Twine Trust, the Cotton-Seed Trust, etc. Typical of the farmers’ perspective is an article in *The Lebanon Express*, published in Linn County, Oregon, which opines that “The farmer has ten votes TO seven of all other occupations. They have enough votes to carry an election. They can eventually put a stop to the extortion of railroads, agricultural implements makers, monopolists, blood suckers and hyenas everywhere.” The complete list of categories is presented in Table 2.

To extend our ability to engage in the widest possible examination of articles, we next drew upon ChatGPT-4-o, a generative artificial intelligence (AI) algorithm with the capacity to understand and interpret complex language well.¹⁵ Specifically, we assigned the generative AI model the task of reading and classifying all of the articles identified by American Stories containing “monopoly” (or a derivative thereof) in 1887. This initial classification produced a quite low Cohen’s Kappa when compared with our classification. Consequently, we next iterated in two ways. First, we re-read each of the 150 sample articles to explore why our assignment of a particular article differed from that of the AI algorithm. In most cases, we determined that the AI application failed to identify nuanced elements of the article. For example, a discussion in a Kansas newspaper indicating that the “Sante Fe Road” had “practically monopolized” business to Salina and Minneapolis, Kansas was rated as a concern over a land monopoly, when a more nuanced understanding of the prose reveals that this is not a concern about monopolization of a “Road” but rather by the “Sante Fe Railroad.”¹⁶

Similarly, an article the *Lambertville Record* criticized the term “lady doctors” while allowing “scrubladies, the wash ladies, and chamberladies, the salesladies, and the foreladies continue to monopolize the professional use of the word lady.” Although this is clearly a non-commercial use of the term “monopolize” (i.e., Category 5) ChatGPT interpreted the article to be more consistent with “a general, nonspecific antipathy for monopoly” (Category 1), with a rationale that the article “reflect[ed] a broader critique of societal labels rather than a specific concern about monopoly in a particular industry.”

In a smaller number of cases, we found that the classification produced by AI more accurately captured the concerns of the article than did our initial classification. After our re-classification, there was substantial (though as described, not perfect) agreement between our classification and that of ChatGPT (Cohen’s Kappa, $\kappa = 0.74$).

With our classification in hand, we next asked ChatGPT to read and classify all articles published in 1887 in American Stories that contained the keyword “monopoly” (or derivatives thereof).¹⁷

¹⁵See Ochieng et al. (2024).

¹⁶See *The Salina Journal*, November 24, 1887.

¹⁷The only classification constraint we imposed was for the instances in which a farm-related concern was expressed in the same article as a concern about railroads. In this instance, we instructed ChatGPT to classify the article as a farm-related concern. We did so to minimize the likelihood of under-accounting for agricultural concerns that were being expressed on the eve of the advent of antitrust legislation.

In total, the AI algorithm read and classified 9,841 articles. The histogram for those categories, excluding the “not elsewhere classified” category, is shown in Figure 4.¹⁸ For comparison, Figure 4 also provides the histogram of the classification of the 150 sample articles by the authors.

Figure 4 provides several interesting insights. First, concerns over harm wrought by monopolies in specific industries represented the largest share of newspaper articles. Second, as conjectured by Letwin (1956), these concerns about monopoly in specific industries was layered on top of a prominent general antipathy for monopoly. If we consider general and specific monopoly-related concerns to approximate a “consumer welfare” perspective, a majority of articles (56 percent) are represented. Populist-related concerns represented a not-inconsequential 30 percent of monopoly-related articles. Farm-related monopoly concerns represented only a small fraction (13 percent) of monopoly-related articles. Informed by this inquiry, we turn in the next section to a quantitative analysis of the leading determinants of the drivers of states’ early adoption of antitrust laws.

4 Quantitative Analysis of Pre-Sherman Act State-level Antitrust

Although scholars have produced several explanations for the causes of the antitrust movement, empirical scrutiny of these explanations has been noticeably thin. In his seminal study, Stigler (1985) identifies two potential interest groups with interest in the development and design of antitrust. First, small businesses, who—fearing the growing presence of larger and more efficient competitors—desired to advance an antitrust agenda that would challenge larger companies. Importantly, small businesses desired statutory language that would not only halt monopolistic practices that would harm consumers, but—more self-servingly—could be used to protect them from legitimate competition that harmed them. Antitrust was seen as a tool that could be designed as an “anti-bigness” weapon to protect not only competition but also competitors.

¹⁸A number of researchers have documented the potential for LLMs to produce different results in situations where the AI is asked to simply repeat the same exercise (e.g., Barrie, Palmer, and Spirling 2024). To ensure that our analysis does not suffer from this lack of replicability, we repeated our exercise, with the same instructions, allowing ChatGPT to produce another classification using the same data. We then calculated the Cohen’s Kappa, κ , for these two classifications, finding that κ between the two AI-generated classifications was 0.95, indicating very substantial agreement. Although not *perfectly* replicable, the high κ provides a very high degree of qualitative replicability and confidence in the ability of ChatGPT to accurately classify our set of newspaper articles.

Second, firms endowed with sufficient monopoly power that they not only had the incentive, but also the wherewithal, to engage in monopolistic practices that harmed consumers had a vested interest in forestalling the passage of antitrust legislation. Under the broad statutory language favored by small businesses, large firms would have been constrained not only from engaging in genuinely monopolistic practices but also from competing aggressively on their merits—for instance, in cases where vigorous competition harmed competitors but not competition itself. Consequently, these firms desired either no statutory antitrust language or, in the alternative, language that granted state antitrust authorities only the power to protect consumers.

Although desirable to separately identify whether, and the extent to which, these two interest groups affected the design and implementation of state-level antitrust, Stigler (1985) finds that this separate identification is not possible due to a high negative correlation ($\rho = -0.86$) in his measures of the state-level intensity of these two groups interests. He then concludes that if he finds an interest group influence he is only able to infer that it was one—or the other—of the two that was responsible. Stigler (1985, p. 4) then draws upon data on the intensity of “actual and potential” monopolies in states to shed light on whether they may have, in fact, delayed the passage of antitrust measures in states where their presence was more intensive.¹⁹

To test whether the pattern of states adopting state antitrust measures before the adoption of the Sherman Act is consistent with an interest group explanation, Stigler (1985) focuses on examining how the intensity of monopolies, by state, may have influenced the timing of states’ adoption of antitrust legislation. In particular, he sorts states into those that had either an anti-monopoly or antitrust statute or constitutional amendment in place prior to 1890 and those that did not, and then further sorts these states into those that had a below average share of potential monopolists and those with an above average share of potential monopolists. Stigler (1985, p. 7) then performs a Chi-squared test of these groups, finding that “the evidence suggests that potential monopolists’ opposition to the Act, or small business support for the Act, was operative in the manner predicted by the self-interest theory.”

¹⁹His choice of the adjective “potential” is purposeful, as his measure draws on data on the intensity on monopolies in 1899, rather than the monopoly intensity at the time when these firms may have plausibly brought political pressure on state legislators to delay the adoption of anti-monopoly and/or antitrust measures.

Against this backdrop, our quantitative analysis consists of two principal steps. First, we re-consider Stigler’s (1985) Chi-square test, replicating his analysis as closely as possible. Once this replication is complete, we re-perform the Chi-squared test, using those states identified in Table 1 as having passed antitrust statutes prior to the passage of the Sherman Act. In both cases, the Chi-squared tests produce the same qualitative results as found by Stigler.

Second, given the significant body of popular discussion of monopoly in the late 1880s, we extend Stigler’s (1985) analysis to allow for the potential that early state-level adoption of antitrust legislation was driven by public opinion and motivated by a multitude of factors, including a widespread antipathy for monopolies and/or anger over monopoly abuses in specific industries, as expressed by greater amplification in contemporaneous newspapers. In particular, we specify a model of state-level adoption of antitrust statutes as:

$$PreSherman_s = \beta_0 + \beta_1 PRESS_s + \beta_2 SBUS_s + \beta_3 MONOPOLY_s + \beta_4 AGRI_s + \beta_5 ARTCAP_s + \varepsilon_s \quad (1)$$

where $PreSherman_s$ equals 1 if state s adopted an antitrust statute prior to the passage of the Sherman Act, and 0 otherwise. Note here that the measurement of the dependent variable differs from Stigler (1985), as is described in detail in Appendix A. $PRESS_s$ measures the number of times “monopoly” is mentioned in the newspapers of state s during 1887, the year before the first state antitrust law was enacted. To estimate the influence of small, non-agricultural businesses across states, we adopt the exclusion method used by Stigler (1985, p. 5) to generate $SBUS_s$. This approach measures the intensity of small-business employment within a state to proxy for the political prowess of small-business interests in that state.²⁰ To do so, Stigler (1985) begins with total employment and then removes employment in sectors dominated by large enterprises during the period: railroads, public utilities, and manufacturing and mining industries with an average of more than 100 employees per establishment. Additionally, he excludes sectors unlikely to have been threatened by monopolies, such as agriculture and certain large handicraft occupations. Finally, we

²⁰This approach was also endorsed by Baxter (1980, p. 44) who opined that “[t]he portion of the work force employed in [small businesses] might serve adequately as a proxy for the political significance of these groups in any particular district.”

normalize this measure by dividing by total employment.²¹

To capture the intensity of monopolies—denoted by *MONOPOLY_s*—we follow the approach described in footnote 25 of Stigler (1985) with two exceptions. First, to identify the set of monopolized (i.e., potentially monopolized) industries, Stigler relies on Nutter (1949), who uses industry classifications from 1929, while we identify monopolized industries at the turn of the century using industry classifications from the manufacturing census. Consequently, it was necessary for us to construct a crosswalk to match Nutter’s industries with those reported in the 1900 census. We use reports on industry classification from the census of manufactures, which were published every 5 years from 1904 to 1929, to track changes in industry classifications. Our mapping is detailed in Appendix B in Table B1. We then find the data for the “average number of wage-earners” for different manufacturing industries from Table 4 of the 1900 census of manufactures. For state-level non-agricultural labor force figures, we use Table 31 from “1900 Census Special Reports: Occupations at the Twelfth census.”²² Second, Stigler’s (1985) Chi-squared specification uses a variable that simply measures whether the intensity of monopolies in a state is “below average” or “above average.” We instead take full advantage of the more continuous measure by including the percentage of a state’s non-agricultural employment in the identified monopolized industries.²³

To capture the potential role of the agricultural sector in driving early adoption of antitrust legislation, we include a measure of the agricultural employment relative to total employment, *AGRI_s*. Finally, Equation 1 also controls for newspaper articles per capita—denoted by *ARTCAP_s*—to

²¹Following this method, we begin with the total number of occupied persons in each state, as reported in Table XXXIII of Volume I of the 1880 census (U.S. Census Office 1883). From this total, we subtract the number employed in agriculture, professional services, and large handicraft occupations. To identify manufacturing industries with large establishments, we use Table I from Volume II of the census to determine which industries had an average employment greater than 100. The corresponding employment figures by state are then drawn primarily from Table II, and in some cases from Table IV. For specific industries such as cotton, wool, and glass, employment data are taken from the industry-specific Special Reports. For mining, we identify industries with large establishments using Table LXIV of the Compendium of the Tenth Census. However, since employment by state is not reported for each mining industry, we allocate national employment across states based on each state’s share of total production volume, as reported in Table LXVII. The full list of excluded industries and occupations, along with the corresponding data sources, is provided in Appendix B.

²²Specifically, we define the non-agricultural labor force as the difference between “Persons Engaged in Gainful Occupations” and those in “Agricultural Pursuits.”

²³While Stigler (1985) identifies high collinearity between his measure of small, non-agricultural businesses and his measure of the intensity of monopoly within states, we find the correlation between our counterparts to be notably lower ($\rho = 0.21$), permitting estimation of the potentially independent influences that these measures may have on the passage of pre-Sherman Act antitrust legislation.

account for state-level variations in the exposure of the state’s population to newspaper articles. Finally, the regression includes an error term, ε_s .

Importantly, this specification allows for two expansions of the original Stigler exploration. First, Stigler’s (1985) test fashioned itself as a test of whether special interest—*either* potential monopolists or small, non-agricultural business—acted to influence the passage of antitrust legislation. Equation 1, however, permits us to separately evaluate the independent influence of each of these special interest groups. Second, although Stigler’s (1985) empirical test is designed to tease out the potential influence of special interest groups, Stigler (1985, p. 5) readily acknowledges the more general economic maxim that “[e]conomic theory tells us, as it told Adam Smith, that output is at a maximum under competition, so it would appear that most people would be beneficiaries of a rule commanding competition.” This suggests that “most people,” as reflected in newspaper accounts of the day, constituted a viable interest group, capable of accelerating the passage of the country’s first antitrust statutes.²⁴ In particular, consumer-welfare-oriented legislation would afford “most people” protection from monopolistic practices while also allowing them to enjoy the efficiencies generated by economies of scale that increasingly emerged in the latter part of the nineteenth century.

Beyond our base model, we additionally examine two additional potential factors that may have influenced the timing of the initial state-level antitrust laws. First, prior to the passage of any state-level antitrust statute, some states passed so-called “Granger Laws” which were designed to reign in the power of railroad and grain elevator companies by limiting their ability to set prices. The passage of these laws may have potentially signaled a state’s keen interest in challenging perceived monopolies, thereby leading to an acceleration of the state’s passage of an antitrust law, or, alternatively, may have acted to relieve the political appetite for antitrust legislation. To account for the potential role of the Granger Laws, we include *GRANGERLAW_s*, whose value equals one in states that had passed Granger laws prior to the passage of any state-level antitrust activity, and zero otherwise.

Second, as noted above and documented in Appendix A, some states incorporated anti-monopoly provisions into their state constitutions, while others did not. These statutes may alternatively have

²⁴In doing so, we acknowledge the standard collective action problems first identified by Olson (1971), while opening the door to the potential for the popular press to reduce those hurdles.

been complementary with, or a substitute for, the adoption of state-level antitrust statutes. To account for this, we include a dichotomous variable *CONSTPROV_s*, which equals one in state's that incorporated anti-monopoly provisions into their state's constitution, and zero otherwise.

Given the dichotomous nature of the dependent variable, we employ Probit estimation, though for comparison, we also estimate equation 1 using ordinary least squares. Table 3 provides the results from estimating Equation 1. The results provide evidence that contemporaneous public concern with monopoly—captured through the frequency of newspaper mentions—was positively and significantly associated with the subsequent adoption of antitrust legislation. Across all specifications, the coefficient on the variable measuring mentions of “monopoly” is positive and statistically significant at conventional levels, consistent with the view that public salience of monopoly concerns played an important role in prompting legislative action.

By contrast, the estimated effects for other proposed explanations for the rise of antitrust—small-business intensity, monopoly intensity, and agricultural intensity—are statistically indistinguishable from zero. This suggests that variation in these factors alone may not explain which states acted first. Of course, these null effects should not be over-interpreted as evidence of absence of an effect of these factors in the initialization of state-level antitrust statutes. In particular, our sample of states necessarily consists of only 43 observations—the number of U.S. states and territories for which all requisite data could be assembled—and as such, statistical precision is limited. With such a small N , even moderately sized true effects may fail to reach conventional levels of significance. Accordingly, these results should be read as suggestive: they highlight the plausibility of public opinion as a proximate driver of early antitrust adoption, while leaving open the possibility that business or agrarian interests also played a meaningful—if statistically undetectable—role. Finally, as seen in Columns (3)-(6) of Table 3, we find no evidence that the passage of Granger Laws or inclusion of anti-monopoly provisions in state constitutions altered the likelihood of observing pre-Sherman Act antitrust legislation at the state level.

In sum, the regression evidence complements the qualitative and historical record by showing that states where discussion of monopoly was most intense were also those most likely to enact pre-Sherman antitrust laws. While the small number of observations constrains formal inference,

the results suggest that popular pressure, as expressed through the press, was a distinctive and measurable force shaping the earliest state-level antitrust initiatives.

5 Conclusion

As has been described by numerous scholars, antitrust has enjoyed a nominal consensus for some time: that the principal, if not exclusive, motivating goal of antitrust was to protect consumer interests and competition. However, unresolved controversies have lurked beneath the surface. Prominent among them: Was the introduction of antitrust driven by the private interests of farmers and/or a portfolio of populist concerns centered on the preservation of small businesses?

In this paper, we have undertaken two approaches to providing additional evidence on this outstanding question. First, we focused on contemporaneous newspaper accounts from the period immediately prior to the passage of state-level antitrust legislation to shed light on the adoption of this legislation. This examination points largely (though not exclusively) toward the “consensus” perspective that the public’s principal concerns were a combination of general antipathy toward monopoly and distress about the emergence of monopoly in particular industries. Contemporaneous newspaper accounts related to monopoly problems facing farmers in the period immediately prior to the passage of the pre-Sherman Act were sparse, suggesting that discontent among agrarian sectors may have been less important than has been previously suggested.

Second, building on Stigler’s (1985) initial attempt to test the role of interest groups in the passage of state antitrust laws, we estimated a regression model examining how the relative strength of special-interest groups—namely, small, non-agricultural firms; would-be monopolists; and farmers—shaped adoption, compared to the broader “public interest,” where we proxied the latter using newspaper mentions of “monopoly” and its derivatives. The regression results show that newspaper attention to monopoly is positively and significantly associated with pre-Sherman adoption of antitrust laws, while measures of small-business, monopoly, and agricultural intensity are statistically insignificant. These findings are consistent with the view that public salience, rather than organized special-interest pressure, best explains the pattern of early state antitrust enactments.

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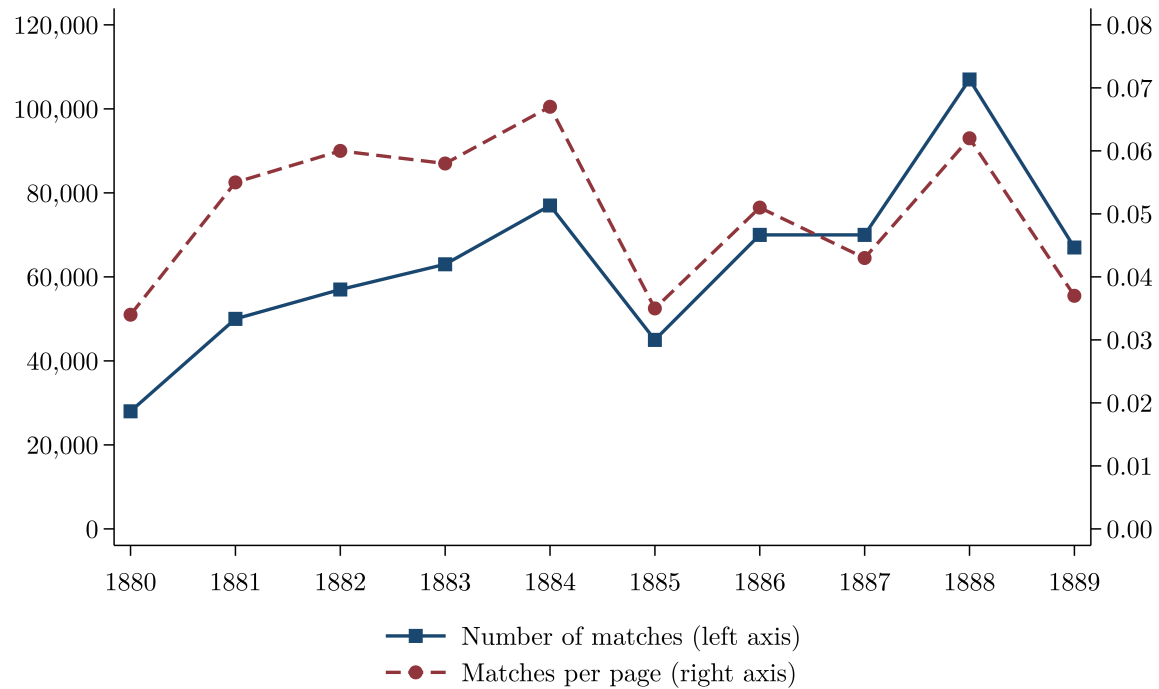
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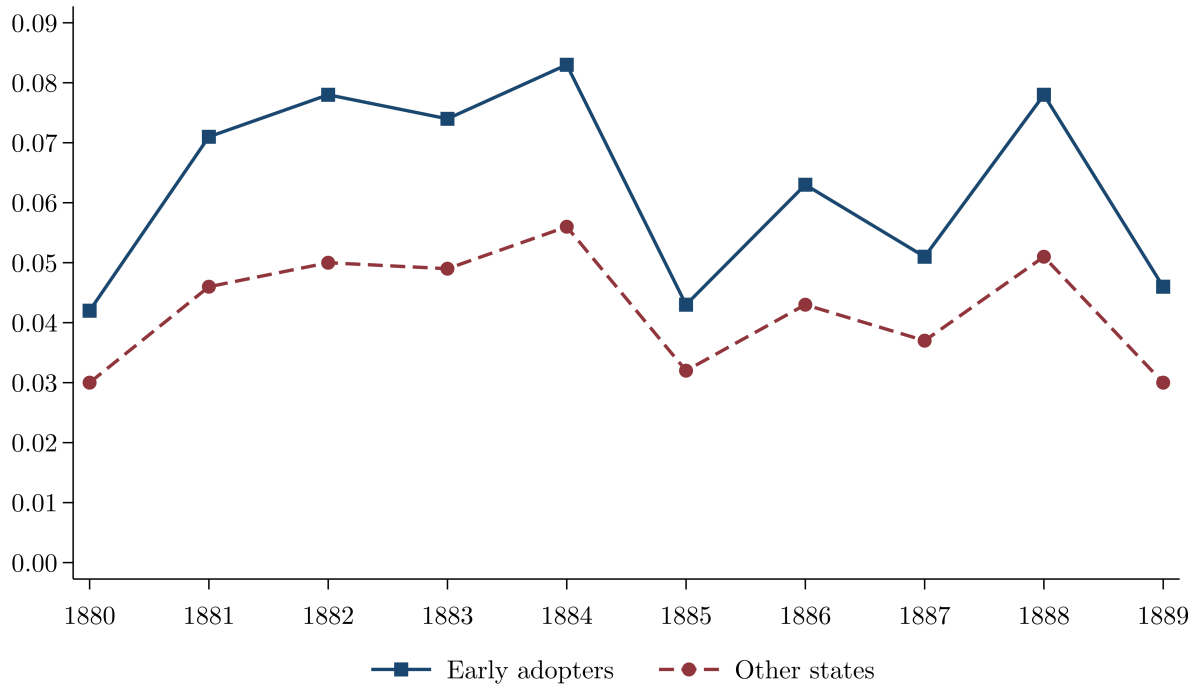
Figures

Figure 1: Matches for Keyword “Monopoly”



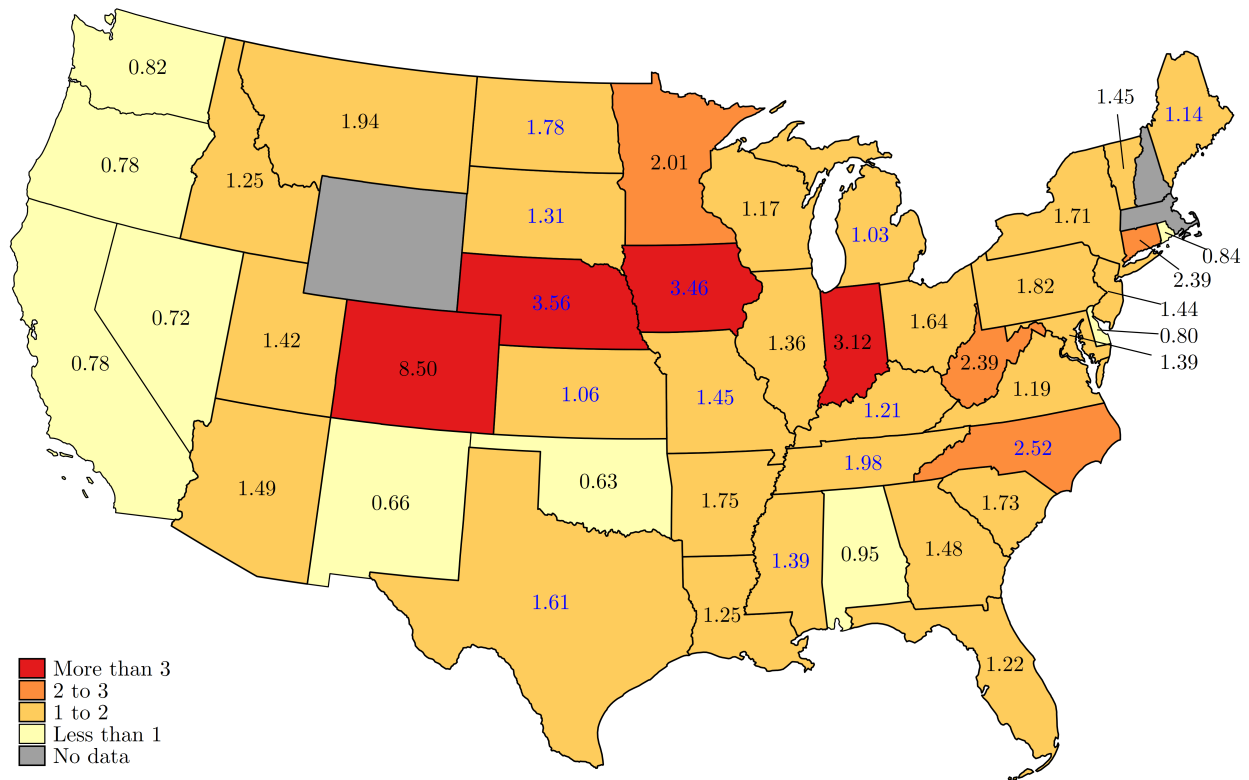
Notes: This figure plots the annual number of newspaper articles containing the keyword “monopoly” (left axis) and the number of matches per newspaper page (right axis) from 1880 through 1889. Data are from Newspapers.com. Each instance of the keyword is counted separately, and a single article may include multiple matches.

Figure 2: Matches for Keyword “Monopoly,” by Enactment Timing



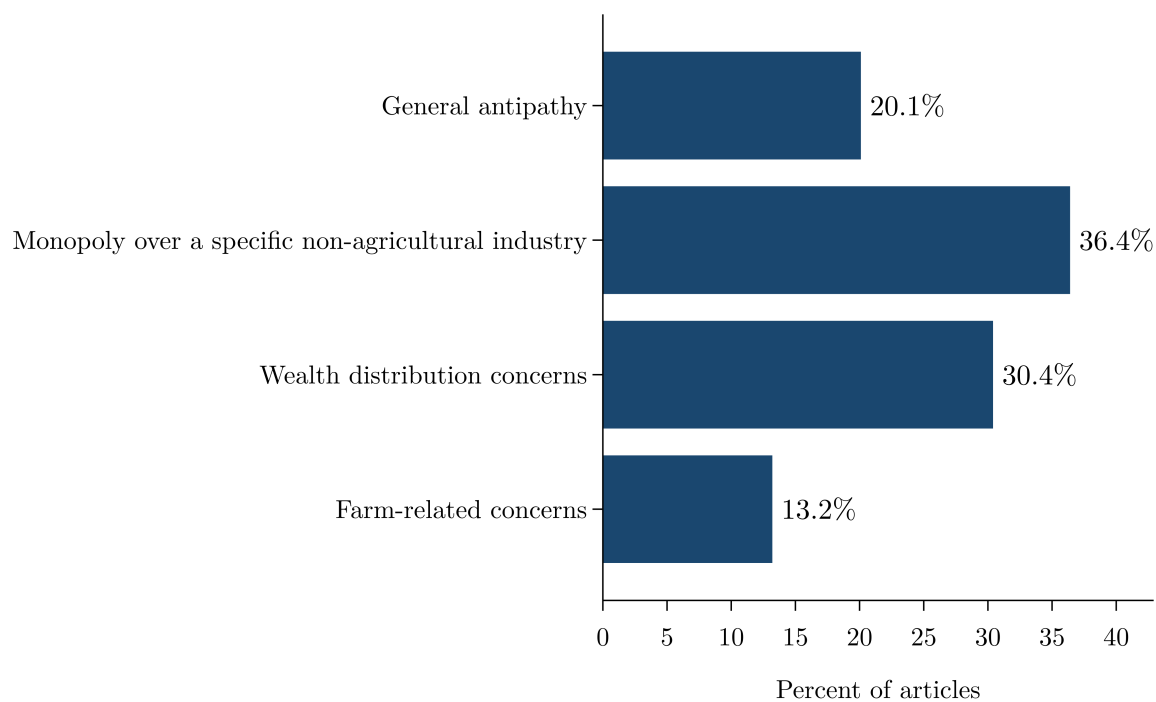
Notes: This figure plots the number of newspaper articles containing the keyword “monopoly” per page from 1880 through 1889, by enactment timing. “Early adopters” are states that enacted antitrust statutes prior to the Sherman Act of 1890. Data are from Newspapers.com. Each instance of the keyword is counted separately, and a single article may include multiple matches.

Figure 3: Keyword “Monopoly” Matches per 1,000 Pages in 1887, by State



Notes: This figure maps the number of newspaper articles containing the keyword “monopoly” per 1,000 pages in 1887. Data are from Newspapers.com. Each instance of the keyword is counted separately, and a single article may include multiple matches. Blue labels mark states that would later adopt antitrust legislation prior to the Sherman Act of 1890.

Figure 4: Topic Distribution of Newspaper Articles Related to Monopoly



Notes: Among newspaper articles published in 1887 containing the keyword “monopoly” (or derivatives thereof), this chart shows the share pertaining to each topic, excluding the “not elsewhere classified” topic (category 5). Topics are defined in Table 2.

Tables

Table 1: Pre-Sherman State Antitrust Laws

State	Date of Enactment
Iowa	April 26, 1888
Maine	March 7, 1889
Kansas	March 9, 1889
North Carolina	March 11, 1889
Nebraska	March 29, 1889
Texas	March 30, 1889
Tennessee	April 4, 1889
Missouri	May 18, 1889
Michigan	July 1, 1889
Mississippi	February 22, 1890
North Dakota	March 3, 1890
South Dakota	March 7, 1890
Kentucky	May 20, 1890

Table 2: Classification of Articles Containing Keyword “Monopoly”

Category	Description
1	General, nonspecific antipathy for monopoly.
2	A concern about monopoly over a specific non-agricultural industry or trust(s), including but not limited to Bell Telephone, Standard Oil, natural gas, underground wire conduit, railroads/rail/railway, whiskey/beer/spirits/liquor, the Associated Press, salt, cable, tea, mining, and hotels.
3	Populist concerns about displacement of small businesses by larger ones, monopoly abuse of labor, small businesses, wealth distribution, or land monopoly.
4	Farm-related concerns, including farm-related monopolies and trusts (e.g., the Beef Trust, Barbed Wire Trust, Twine Trust, Cotton-Seed Oil Trust).
5	A concern about monopolies that is not most accurately captured by categories 1, 2, 3, or 4. This category includes articles that discuss the governmental grant of monopoly; the labeling of a politician or political party as “anti-monopoly” or “monopoly”; the use of the term “monopoly”, “monopolized” or “monopolistic” in a non-commercial sense; the simple description or label of legislation; or foreign or indecipherable text.

Table 3: Main Regression Results

	(1)	(2)	(3)	(4)	(5)	(6)
Constant	-3.812 (2.825)	-0.213 (0.606)	-3.894 (3.038)	-0.165 (0.658)	-3.645 (3.150)	-0.065 (0.656)
PRESS	0.034** (0.016)	0.004** (0.002)	0.034** (0.017)	0.004* (0.002)	0.032* (0.017)	0.004* (0.002)
SBUS	-1.880 (5.375)	-0.088 (1.165)	0.661 (4.943)	-0.226 (1.297)	0.324 (5.172)	-0.409 (1.270)
MONOPOLY	0.567 (4.766)	-0.008 (1.061)	-2.342 (5.809)	-0.063 (1.116)	-2.743 (5.643)	-0.191 (1.112)
AGRI	5.312 (3.565)	0.998 (0.777)	5.649 (3.794)	0.993 (0.809)	5.548 (3.921)	0.932 (0.805)
ARTCAP	-0.004 (0.012)	-0.001 (0.002)	-0.004 (0.012)	-0.001 (0.002)	-0.004 (0.012)	-0.001 (0.002)
GRANGER LAW			0.244 (0.868)	0.033 (0.260)	0.233 (0.882)	0.029 (0.257)
CONSTPROV			-0.235 (0.603)	-0.060 (0.160)	-0.485 (0.607)	-0.138 (0.157)
Observations	43	43	43	43	43	43
R^2	0.319	0.182	0.323	0.139	0.333	0.154
Probit	✓		✓		✓	
OLS		✓		✓		✓
Dakota constitutional provision			✓	✓		

Notes: Standard errors in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. The dependent variable indicates whether a state had adopted an antitrust statute prior to the passage of the Sherman Act of 1890. Models (1), (3), and (5) are probit specifications; models (2), (4), and (6) are OLS. The “Granger law” variable equals 1 for states that enacted Granger-era railroad regulation laws in the 1870s. The “Constitutional provision” variable equals 1 if a state’s constitution contained an explicit anti-monopoly clause prior to 1890. The “Dakota constitutional provision” row indicates whether the Dakota Territory is coded as having an anti-monopoly constitutional provision. (When statehood was granted to the Dakotas in 1889, North Dakota adopted an anti-monopoly clause in its first constitution, while South Dakota did not include such a provision until 1900—leaving it somewhat ambiguous as to whether the Dakotas should be counted as having an anti-monopoly provision in their state constitution prior to the Sherman Act.)

A Reconciling State Antitrust Law Lists

A number of previous scholars have attempted to identify which states enacted antitrust laws before the passage of the Sherman Act in 1890, but they have reached different conclusions. For example, Stigler (1985, p. 6) identifies 17 states with antitrust laws before 1890 and 20 states by the end of 1890, while Collins (2013, p. 2336) lists only 13.²⁵ Chen (1988, p. 94) and Millon (1990, p. 146) each count 12 states with antitrust statutes enacted before the federal legislation. Seager and Gulick (1929, pp. 341–343) assert that “at least thirteen” states had adopted antitrust statutes by the time the Sherman Act took effect. Others, such as Dameron (2016, p. 1077), distinguish between statutory and constitutional provisions, identifying 13 state antitrust statutes and five antitrust-like provisions in state constitutions that preceded the Sherman Act.

This appendix compares other scholars’ lists of pre-Sherman antitrust laws to the list of state antitrust laws we count in this paper, explaining differences in classification, inclusion criteria, and treatment of constitutional provisions. Clarifying the precise enactment dates of state antitrust statutes helps to reconcile several of the discrepancies in different scholars’ counts. Because Louisiana passed its antitrust statute in 1890 after the passage of the Sherman Act on June 2, 1890, by our count, 14 states passed an antitrust statute by the end of 1890, but 13 states passed an antitrust statute before the passage of the Sherman Act. Given this distinction, our list aligns with Collins (2013) and the list of statutory provisions in Dameron (2016). Our list of pre-Sherman state antitrust statutes also aligns with those given by Chen (1988) and Millon (1990) with the exception of North Carolina, which we include, but neither Chen nor Millon does.²⁶ Finally, our list aligns with the assertion of Seager and Gulick (1929, pp. 341–343) that “at least thirteen” states had adopted antitrust statutes by the time the Sherman Act took effect; indeed, we find that *exactly* 13 such enactments took place.

²⁵Boudreaux, DiLorenzo, and Parker (1995) also name 20 states as having enacted antitrust laws by the end of 1890. These scholars’ list agrees with that of Stigler (1985) with one exception. Specifically, Boudreaux, DiLorenzo, and Parker (1995) date Arkansas’s law to 1876, whereas Stigler (1985) places it in 1874. While Stigler (1985) presumably refers to the anti-monopoly provision in Arkansas’s 1874 constitution, we could not identify any statute or amendment enacted in 1876 that plausibly aligns with the citation in Boudreaux, DiLorenzo, and Parker (1995).

²⁶Chen (1988) does not mention North Carolina, while Millon (1990, p. 146) references an 1899 North Carolina statute. We instead include North Carolina’s 1889 act “to prohibit trusts in the State of North Carolina, and to provide for the punishment of persons connected with them.” Act of March 11, 1889, Chapter 374, 1889 North Carolina Acts 372.

Table A1: State Antitrust Laws per “The Origin of the Sherman Act” (Stigler 1985)

State	Year per Stigler (1985)	Year Agrees with Our Accounting	Presumed Citation
Maryland	1867	NO (Constitutional provision)	Md. Const. art. XLI
Tennessee	1870	NO (Constitutional provision)	Tenn. Const. art. I, §22
Arkansas	1874	NO (Constitutional provision)	Ark. Const. art. II, §19
Texas	1876	NO (Constitutional provision)	Tex. Const. art. I, §26
Georgia	1877	NO (Constitutional provision)	Ga. Const. art. IV, §5097
Indiana	1889	NO (No record found)	N/A
Iowa	1889	NO (No record found)	N/A
Kansas	1889	YES	Act of March 9, 1889, Chapter 257, 1889 Kansas Acts 389
Maine	1889	YES	Act of March 7, 1889, Chapter 266, 1889 Maine Acts 235
Michigan	1889	YES	Act of July 1, 1889, Chapter 225, 1889 Michigan Acts 331
Missouri	1889	YES	Act of May 18, 1889, 1889 Missouri Acts 96
Montana	1889	NO (Constitutional provision)	Mont. Const. art. XV, §20
Nebraska	1889	YES	Act of March 29, 1889, Chapter 69, 1889 Nebraska Acts 516
North Carolina	1889	YES	Act of March 11, 1889, Chapter 374, 1889 North Carolina Acts 372
North Dakota	1889	NO (Constitutional provision)	N.D. Const. art. VII, §146
South Dakota	1889	NO (Constitutional provision)	S.D. Const. art. XVII, §20
Washington	1889	NO (Constitutional provision)	Wash. Const. art. XII, §22
Kentucky	1890	YES	Act of May 20, 1890, Chapter 1621, 1890 Kentucky Acts 143
Louisiana	1890	YES	Act of July 5, 1890, Chapter 86, 1890 Louisiana Acts 90
Mississippi	1890	YES	Act of February 22, 1890, Chapter 36, 1890 Mississippi Acts 36
Alabama	1891	YES	Act of February 7, 1891, Chapter 202, 1891 Alabama Acts 438
Illinois	1891	YES	Act of June 11, 1891, 1891 Illinois Acts 206
Minnesota	1891	YES	Act of April 20, 1891, Chapter 10, 1891 Minnesota Acts 82
California	1893	NO (Does not meet inclusion criteria ²⁶)	Act of February 27, 1893, Chapter 19, 1893 California Acts 30
New York	1897	NO (Earlier law exists)	Act of May 7, 1897, Chapter 383, 1897 New York Acts 310
Connecticut	†	YES	Act of August 15, 1911, Chapter 185, 1911 Connecticut Acts 1461
Florida	†	YES	Act of June 4, 1915, Chapter 6933, 1915 Florida Acts 281
Massachusetts	†	YES	Act of April 28, 1908, Chapter 454, 1908 Massachusetts Acts 409
New Hampshire	†	YES	Act of April 18, 1917, Chapter 177, 1917 New Hampshire Acts 698
Ohio	†	NO (Earlier law exists / No record found)	N/A
South Carolina	†	NO (Earlier law exists)	Act of February 26, 1902, Chapter 574, 1902 South Carolina Acts 1057
Vermont	†	NO (Does not meet inclusion criteria ²⁷)	Act of April 1, 1915, Chapter 141, 1915 Vermont Acts 222
Virginia	†	YES	Act of September 9, 1919, Chapter 54, 1919 Virginia Acts 82
Wisconsin	†	NO (Earlier law exists / No record found)	N/A

Notes: Stigler (1985, p. 6) notes that the states marked with † enacted a law between 1900 and 1929, but “[e]xact dates...are not readily available.”

Constitutional provision: The cited law appears in the state constitution, rather than in statutory law. This study limits its focus to statutory enactments.

No record found: No corresponding law could be located in state session laws, state constitutions, or published statutory compilations.

Does not meet inclusion criteria: The cited law was found but was excluded from this study for reasons explained in footnotes.

Earlier law exists: A different, earlier statute was identified and used in this study instead of the one cited by Stigler (1985).

Table A1 reconciles George Stigler’s influential list with the list used here, indicating whether each state law Stigler (1985) counts is included in the present study, giving a rationale for the inclusion or lack thereof, and providing legal citations for reference. Of the 20 states that Stigler (1985) identifies as having enacted antitrust laws by the end of 1890, we include 14 in our list—nine with the same years as Stigler and five with different years.²⁸ Most of the discrepancies between our list and that of Stigler (1985) arise from the latter author counting state constitutional provisions, while we limit our focus to statutory enactments. Anti-monopoly provisions in state constitutions were typically brief and general in scope. As Figure A1 shows, they most commonly directed the state legislature to enact laws regulating monopolies, or declared monopolies, trusts, combinations, and restraints of trade to be unlawful in principle. However, these provisions did not, on their own, create criminal or civil liability, and designating a specific state official, such as the attorney general, to enforce the law was relatively uncommon. For these reasons, we exclude constitutional provisions from our count of state antitrust statutes.

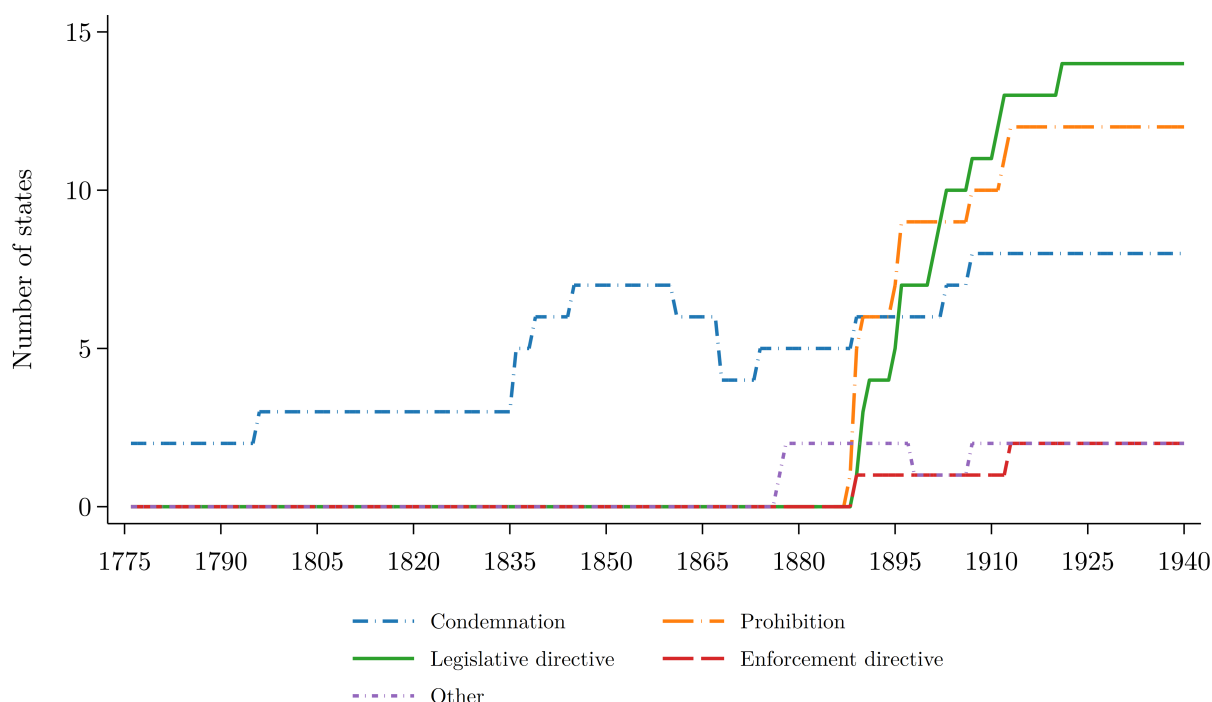
Our decision to exclude constitutional provisions is also supported by the empirical pattern of adoption shown in Table A2: states did not treat constitutional provisions as substitutes for statutory enactments, but approached each independently. Only four states had both an antitrust statute and an anti-monopoly constitutional provision before the Sherman Act passed in 1890. Another nine had a statute but no constitutional provision, and nine had a provision but no statute.

²⁶California’s 1893 statute applied only to the sale of livestock. We do not count statutes that applied to a single industry, rather than to all commerce, as antitrust statutes in this paper.

²⁷Vermont’s 1915 general incorporation law includes the following provision in §41: “The court of chancery within and for the county where the corporation has its principal office may, upon petition and after notice and hearing and upon such terms and conditions as it deems just, dissolve any corporation whenever it appears that its business transactions are repugnant to the law of this state. It shall so dissolve any corporation which has created a monopoly or unreasonably restrained competition in trade.” We opted not to count this as an antitrust statute because it doesn’t specifically outlaw anticompetitive conduct, such as price fixing.

²⁸The states we count with the same years as Stigler (1985) are Kansas, Maine, Michigan, Missouri, Nebraska, North Carolina, Kentucky, Louisiana, and Mississippi. (Note that Louisiana passed its antitrust statute in 1890 *after* the Sherman Act was passed on June 2, 1890.) The states we count with different years as Stigler are Tennessee (Stigler counts an 1870 constitutional provision, while we count an 1889 statute), Texas (Stigler counts an 1876 constitutional provision, while we count an 1889 statute), Iowa (Stigler references an 1889 law that we could not locate, while we count an 1888 statute), North Dakota (Stigler counts an 1889 constitutional provision, while we count an 1890 statute), and South Dakota (Stigler counts an 1889 constitutional provision, while we count an 1890 statute). The remaining six states that Stigler identifies as having enacted antitrust laws by the end of 1890 are Maryland, Arkansas, Georgia, Indiana, Montana, and Washington. For each of these states, we count statutes enacted after 1890. Specifically, for Arkansas and Indiana, we count statutes enacted in 1897, while for Georgia and Montana, we count statutes enacted in 1896 and 1909, respectively. Maryland and Washington did not enact antitrust statutes until well into the twentieth century.

Figure A1: Contents of Anti-Monopoly Provisions in State Constitutions, 1776–1940



Notes: This figure illustrates the number of states with various kinds of anti-monopoly provisions in their state constitutions between 1776 and 1940. Constitutional provisions are categorized as follows: *condemnation* provisions decry the existence of monopolies; *prohibition* provisions declare that combinations, trusts, or other restraints of trade are illegal; *legislative directives* instruct the state legislature to enact laws regulating monopolies; *enforcement directives* designate a state officer, such as the Attorney General, to enforce the provision; and *other* provisions address competition policy in ways not captured by the preceding categories. Declines in the number of states with such provisions typically reflect the adoption of entirely new state constitutions that omitted the earlier language, rather than the targeted repeal of anti-monopoly provisions.

The remaining 26 had neither. These figures suggest states did not systematically treat statutes and constitutional provisions as complements or substitutes. Rather, adoption of one form of law was only weakly associated with adoption of the other. Some states used constitutional language to oppose monopolies without enacting legislation, while others passed statutes without embedding anti-monopoly language in their constitutions. Overall, the data indicate that states' enactment of antitrust statutes and anti-monopoly constitutional provisions were largely independent.

The comparisons in this appendix underscore the ambiguity that can arise when sources differ in their treatment of constitutional provisions and narrow, industry-specific statutes. Without consistent standards, counts of early state antitrust laws can vary significantly, complicating research

Table A2: Pre-Sherman Antitrust Statutes and Constitutional Provisions

Antitrust Statute	Anti-Monopoly Constitutional Provision		Total
	Yes	No	
Yes	4	9	13
No	9	26	35
Total	13	35	48

Notes: This table tallies the number of states that had antitrust statutes and/or anti-monopoly constitutional provisions before the Sherman Act was enacted on July 2, 1890. The 48 contiguous “states” are included in this tally, though some (Idaho, Wyoming, Utah, Oklahoma, New Mexico, and Arizona) were still territories at the time of the Sherman Act’s passage.

seeking to unpack these laws’ origins. By applying clear inclusion criteria—focusing on statutory enactments of general applicability—and consulting original session laws, we offer a clarified accounting of state-level antitrust activity both preceding and following the enactment of federal legislation. This approach not only resolves discrepancies in the existing literature but also offers a firmer foundation for assessing the development of antitrust law in the United States.

B Data Details

Table B1: Mapping Manufacturing Industries from 1929 to 1900

Industry from 1929 Used by Nutter (1949)	Corresponding Industries in 1900
Agricultural implements	Agricultural implements
Blast-furnaces products	Iron and steel
Cars, railroad, n.e.m.	Cars and general shop construction and repairs by steam railroad companies; Cars and general shop construction and repairs by street railroad companies; Cars, steam railroad, not including operations of railroads; Cars, street railroad, not including operations of railroads
Chewing gum; confectionery	Confectionery
Copper	Copper, smelting, and refining; Enameling and enameled goods; Stamped ware; Tin and terne plate; Tinsmithing, coppersmithing, and sheet-iron working
Cotton goods	Cotton goods; Cotton small wares; Cotton, compressing; Cotton, ginning
Electrical machinery	Electrical apparatus and supplies
Foundry and machine-shop products	Bells; Foundry and machine-shop products; Gas machines and meters; Hardware; Hardware, saddlery; Iron and steel, doors and shutters; Iron and steel, forgings; Iron and steel, nails and spikes; Iron and steel, pipes, wrought; Ironwork, architectural and ornamental; Plumber's supplies, n.e.s.; Plumbing, and gas and steam fitting; Pumps, not including steam pumps; Steam fittings and apparatus
Lead	Lead, bar, pipe, and sheet; Lead, smelting and refining
Leather	Leather board; Leather goods; Leather, tanned, curried, and finished; Pocketbooks; Saddlery and harness; Trunks and valises
Liquors, distilled	Liquors, distilled
Meat packing	Slaughtering and meat packing, wholesale
Paper; pulp	Paper and wood pulp; Pulp goods
Petroleum refining	Petroleum refining
Rubber goods, other	Rubber and elastic goods
Ships and boats	Ship and boat building, wooden; Ship building, iron and steel
Steel-mill products	Iron and steel
Tobacco products, other	Tobacco, chewing, smoking, and snuff; Tobacco, stemming, and re-handling
Woolen goods	Woolen goods
Worsted goods	Worsted goods

Table B2: Data Used to Measure Employment by Small, Non-Agricultural Businesses

Variable	Location in U.S. Census Office (1883)
All occupations	Volume 1, Table XXXIII
Occupations excluded:	
Agriculture	
Professional and personal services	
Boatmen and Watermen	
Canalmen	
Clerks and bookkeepers in railroad offices	
Drayment, hackmen	
Employees of railroad companies	
Officials and empl. of street railroad firms	
Officials of telegraph companies	
Officials of telephone companies	
Officials of railroad companies	
Shippers and freighters	
Steamboat men and women	
Stewards and stewardesses	
Toll-gate and bridge keepers	
Blacksmiths	
Carpenters and joiners	
Plumbers and gasfitters	
Manufacturing industries excluded:	
Bagging, flax, hemp, jute; cars, railroad, street, and repairs; iron pipe, wrought; straw goods; sugar and molasses, refined; wire	Volume 2, Table II
Ammunition; belting and hose, rubber; boots and shoes, rubber; brass and copper, rolled; celluloid and celluloid goods; clocks; clothing, horse; envelopes; fire-arms; fruit-jar trimmings; glucose; jute and jute goods; rubber, vulcanized; sewing-machine cases; thread, linen; watches	Volume 2, Table IV
Cotton manufacturing	Report on Cotton Manufacturing of the United States by E. Atkinson, Table I
Wool hats; Worsted goods; Carpets, other than rags	Report on Wool Manufacture in All Its Branches by G. Bond
Iron and steel	Statistics of the Iron and Steel Production by J. Swank, Table VI
Glass	Report on the Manufacturing of Glass by J. Weeks, Table VI